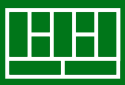
LONG TAIL BUSINESS MODEL

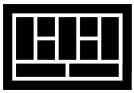


THE BUSINESS
MODEL ANALYST

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

SUPER GUIDE:
LONG TAIL BUSINESS MODEL

BY DANIEL PEREIRA



THE BUSINESS
MODEL ANALYST

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

© THE BUSINESS MODEL ANALYST

The Business Model Analyst is a website dedicated to analyzing business model types, patterns, and innovations using the business model canvas as its primary tool. The site offers a wide variety of free and premium content, including digital products such as PDF tools, presentations, spreadsheets, ebooks & guides, and much more. **Check it out here.**

Daniel Pereira
The Business Model Analyst Ottawa, ON, Canada
businessmodelanalyst.com

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Copyright © 2022 Daniel Pereira

All rights reserved.

ISBN: 978-1-998892-17-4

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

TABLE OF CONTENTS

Introduction 9
What Is The Long Tail? 11
Understanding The Long Tail Strategy 13
- New Opportunities Offered By E-Commerce 14
- Changing Market Environment 14
- Increased Distribution Channels 15
- Balance Between Probability And Profitability 15
- Statistical Basis 16

Understanding The Blockbuster Business Model 17
- What Is The Blockbuster Business Model? 17
- What Are The Factors Supporting This Strategy? 18
  - Ease Of Adoption 18
  - Reliability Of The Method 18
  - Limited Shelf Space 18
  - Trend Following 18
  - Limited Distribution Channels 19
  - Individuals Tend To Want The Best 19
  - Profitability 19

What Is A Long-Tail Business Model? 20
- It Lays A Strong Emphasis On Niche Products 20
- A Large Catalog Of Items 21
- It Requires Cost-Effective Management Of Large Inventories 22
- Wide Distribution Channels Are Necessary 22
- High Degree Of Customer Retention 23
- They Work Well For Crowdsourcing Platforms 23
- Optimized Search And Filtering Options 24

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Long Tail Business Model Canvas **25**
Filling In Your Long Tail Business Model Canvas Template 26
Value Propositions 26
Customer Segments 27
Distribution Channels 27
Customer Relationships 27
Revenue Streams 28
Key Activities 28
Key Resources 28
Key Partners 28
Cost Structure 29
Examples Of Long Tail Businesses **30**
Netflix's Long Tail Business Model 30
Netflix’s Business Model Canvas 31
Value Propositions 31
Customer Segments 33
Distribution Channels 33
Customer Relationships 33
Revenue Streams 33
Key Activities 34
Key Resources 34
Key Partners 34
Research And Development 35
Amazon's Long Tail Business Model 35
Amazon’s Business Model Canvas 36
Value Propositions 37
Customer Segments 38
Distribution Channels 38
Customer Relationships 38

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Revenue Streams 38
Key Activities 39
Key Resources 39
Key Partners 39
Cost Structure 40
Ebay's Long Tail Business Model 40
Ebay's Business Model Canvas 41
Value Propositions 41
Customer Segments 42
Distribution Channels 42
Customer Relationships 43
Revenue Streams 43
Key Activities 43
Key Resources 44
Key Partners 44
Cost Structure 45
Lulu's Long Tail Business Model 45
Lulu's Business Model Canvas 46
Value Propositions 46
Customer Segments 47
Distribution Channels 48
Customer Relationships 48
Revenue Streams 48
Key Activities 48
Key Resources 49
Key Partners 49
Cost Structure 49
What Does Long Tail Theory Mean In Marketing? 51
Practical Applications Of Long Tail Marketing 53
Using Long Tail Keywords For Seo 53

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Increasing Your Content Variety Using Long Tail Content 54
Growing Your Followers Through Long Tail Fanbases 55
Invest In Long Tail Link Building 55
Increase Your Website Footprint 56
In A Physical Store With A Large Amount Of Shelf Space 56
Microfinance Institutions Also Utilize The Long Tail Method 57
For What Kinds Of Customers Is Long Tail Marketing Effective? 58
Culturally Diverse Clients 58
Crowdsourcing 58
Enthusiasts Of Obscure Products 59
Things To Note While Adopting The Long Tail Model 60
Do Not Radically Alter Your Blockbuster Resource-Allocation Strategy Or Product-Portfolio Just Yet 60
Keep Your Long Tail Costs As Low As Possible 61
Focus On Marketing Your More Popular Products 61
Do Not Be In A Haste To Direct Customers To Your Long Tail Products 62
Offer Niche Products To Loyal Customers 62
The Long Tail Method Requires Significant Creative Thinking 63
Conclusion 64
References 65
About The Author 69

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

INTRODUCTION

It would not be an exaggeration to state that the future of retail lies no longer in traditional brick-and-mortar stores, but in online retailers and e-commerce platforms. In 2020, e-commerce sales accounted for 18% of all retail sales worldwide, and are expected to reach as high as 25% by the end of 2025.

This represents a strong upward trend that has been gaining momentum since the mid-2010s, with the online retail industry in the U.S. contributing over $870 billion in 2021. This figure, however, pales in contrast to the total annual retail trade value of the US in 2021, a mind-boggling $6.6 trillion.

Rather than be discouraged by this disparity, investors see this as a significant opportunity for future growth and realize that the online retail industry is a burgeoning market that has not yet reached maturity. Nearly six out of every ten people in the U.S. use some sort of retail app, and the increased acceptance of online retail apps has been increasing over the years — not only by millennials, but by older generations as well.

Therefore, like all relatively new markets, the online retail industry has attracted innovators and investors from all corners of the globe and numerous fields. This has led to the rise of different business models, niche markets, and online e-commerce platforms. However, all this opportunity does come with some increased difficulties as well.

One of the most significant challenges is the high rate of competition in the industry. The rise of numerous online e-commerce platforms has led to increased competition

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

among online retailers for customers and saturation of the market. This in turn drives up the total cost of customer acquisition (CAC) — how much a company expands in terms of cost when acquiring new customers and driving sales.

In response to the ever-increasing total cost of customer acquisition, many business models adopted by online retailers have directly or indirectly focused on the **Pareto Principle** regarding product sales and revenue. This asserts that 80% of inventory sales are made up of about 20% of high-demand items, or similarly that 80% of inventory sales are driven by 20% of loyal customers. Therefore, they have focused on marketing a small range of high-demand products to a small group of consumers.

This strategy, while effective, does little in the way of solving the issue of ever-increasing competition, and may even lead to increased market saturation. However, within this situation, another unique business model is crept up which seeks to take advantage of the current inadequacies of the market. It does this by capitalizing on the underserved consumer base and low-demand products, which most digital retailers ignore. We're referring to none other than the **Long Tail Business Model**.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

WHAT IS THE LONG TAIL?

The Long Tail strategy was coined in 2004 by Chris Anderson, who later expanded the strategy into a book called "**The Long Tail: Why the Future of Business is Selling Less of More**" in 2006. The name stems from a now-famous statistical graph of a long-tail distribution curve, which maps out the relative popularity of an item represented on the vertical axis and the total number of items represented on the horizontal axis. The area under the long-tail distribution curve was said to represent the volume of sales for these particular items.

The graph showed that a majority of inventory sales were driven by a small group of high-demand, large-volume products (similar to the Pareto Principle, which is why it is also known as the **Pareto Curve**). A large number of products are sought by customers less frequently, leading to low demand and a relatively lower volume of sales.

However, the graph also highlighted an interesting feature. The area under the area of low-demands, low-volume items -known as the long tail — was almost as large as the area highlighted under the high-demand, high-volume items. This created an exciting business opportunity. If optimized correctly, the sales driven by various low-volume, low-demand products, and relatively obscure products in a niche market could create just as many sales as selling only high-demand, high-volume items. In short, the key is **selling long-tail items**.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

UNDERSTANDING THE LONG TAIL STRATEGY

To understand the long-tail strategy, it's important to understand the high degree of competition within the world of online retail. Studies have shown that the customer conversion rate among online retailers is quite poor when compared to traditional brick-and-mortar retail stores.

Several studies have placed the conversion rate for e-commerce platforms at roughly 2-3%. This means that, at best, only one in 30 persons who visit an online retail store actually make a purchase. Another worrying statistic is the average add-to-cart conversion rate for e-commerce sites in the U.S., which stood at 12.8% in 2021. This means that only roughly 13 in 100 people who visited an online retail store added an item to their cart. From the first statistic, it is clear that most of them did not end up purchasing that item during that same visit.

There are numerous reasons why digital retail stores may have low conversion rates. This may range from higher costs relative to competitors, such as brick-and-mortar stores, poor product sorting and filtering, lack of site optimization, poor marketing, and so on. Also, the high rate of competition among high-demand items plays a significant role, as many buyers sift through multiple platforms in hopes of getting the best deals.

The Long Tail business strategy offers a solution to this by promoting the sale of a wide range of low-volume,

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

low-demand, hard-to-find items to a much wider market base. While this may not always drive more sales than high-demand products, it does add significant revenue to your business and at a much lower customer acquisition cost since fewer resources are expended trying to drive sales due to the reduced competition for these items.

Several key concepts support the feasibility of the Long Tail business model.

NEW OPPORTUNITIES OFFERED BY E-COMMERCE

One of the factors that drove the push for high-demand, large sales volume items was the inherently limited nature of traditional brick-and-mortar storefronts. Limited shelf space led to the adoption of the “Blockbuster Strategy", whereby businesses attempted to optimize available shelf space through the sale of only popular items.

However, online retail stores offer virtually endless shelf space, allowing a much larger catalog. This means that e-commerce businesses should no longer allow themselves to be limited by an outdated mode of thinking created by limited physical capacity.

CHANGING MARKET ENVIRONMENT

One of the beliefs driving this concept is the idea that despite the early adoption and availability of popular products by online retailers, the quickly maturing e-commerce industry is also gradually pushing up the adoption of more niche products.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

These hard-to-find items which were initially sold through more traditional distribution channels are now slowly being adopted by an increasing number of online retailers. So businesses can capitalize on this trend to corner a piece of the niche market by building a base of loyal customers.

INCREASED DISTRIBUTION CHANNELS

One of the biggest challenges facing the Long Tail business model was the limited distribution channels offered by most other available traditional business models. This drove most businesses to focus their attention on only their most profitable distribution channels and products, as the profitability of other less popular channels was in doubt.

However, the rise of e-commerce and digital marketing is opened an entire world of channels for businesses to interact with their customers. This includes more than just e-commerce platforms, but also social media platforms and applications, as well as other online channels with nearly limitless shelf space.

BALANCE BETWEEN PROBABILITY AND PROFITABILITY

Another key advantage of this method is that it takes advantage of the careful balance between profitability and probability, as illustrated by the long-tail chart. The probability of selling high-demand products may seem higher initially, and in turn, this seems like it will lead to higher profitability as well.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

However, when one carefully considers the stiff competition from other retailers, this probability is reduced significantly. Also, even though the low-demand items popularized by the Long Tail strategy might drive low volume sales, they enjoy a loyal customer base, as well as lower distribution and customer conversion costs, which significantly increases their profitability.

STATISTICAL BASIS

The last key concept of the Long Tail strategy lies in the statistical property that states that a surprisingly large share of the population sales volume lies under the long tail of the graph. This represents an untapped market that many businesses have overlooked due to a poor understanding of how to apply the new opportunities offered by online retail.

While this may sound like a purely mathematical principle, it holds up surprisingly well in real-life situations as well. This is most likely because by definition, long-tail products vastly outnumber high-demand items (according to the Pareto principle). Thus, low volumes of these items can be sold to a wider consumer base.

The changing environment of the digital market means that the long tail is becoming a lot longer and flatter than more consumers are introduced to a wider variety of products and niches, most of which they may have never been exposed to if not for the digitization of the marketplace.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

UNDERSTANDING THE BLOCKBUSTER BUSINESS MODEL

To fully understand the Long Tail Business model, we must have a clearer grasp of the business strategy it was built to replace — the blockbuster strategy.

WHAT IS THE BLOCKBUSTER BUSINESS MODEL?

Aptly named after the word blockbuster — which is commonly used to refer to a financially successful and popular film — at its most simple form, the blockbuster strategy seems to be the exact opposite of the Long Tail model. This means that instead of capitalizing on the long-tail segment of the distribution curve, a company would focus most of its resources on customers at the head of the distribution.

This is done through the sale of high-demand, high-volume products which are more likely to drive a high amount of sales volume. However, in most cases, this system follows the Pareto Principle, which means that a relatively small number of products will drive a majority of the sales for this business.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

WHAT ARE THE FACTORS SUPPORTING THIS STRATEGY?

Ease of Adoption

The blockbuster strategy is one of the easiest business models that one can adopt. It involves identifying the most popular products and focusing a significant fraction of your available resources on marketing these products based on the assumption that the high demand for these items will drive massive sales. Since obtaining such data as bestsellers and consumer demand are relatively easy, the blockbuster strategy is not complicated, nor does it take significant time to adopt.

Reliability of the Method

Even though newer business strategies have been proposed over the years, the blockbuster strategy does offer a degree of reliability. However, this stability is not to the same degree as before due to the rapid adoption of e-commerce, which stimulated the steady decline in the pure application of the blockbuster method as more businesses attempted to add the Long Tail strategy to their business structure as well.

Limited Shelf Space

One of the major drivers of the blockbuster strategy was the limited shelf space that plagued retailers before the creation of e-commerce and digital markets. Faced with this choice, businesses decided rather take the safer choice and stick to well-known products which will help them maximize their shelf space for profit.

Trend Following

Humans are by nature highly social entities and by nature prone to creating fads and trends. This seeps into every aspect of our lives, from the books we buy, the type of

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

movies we watch, and even how we dress. Therefore, once a product has started to gain traction, it is likely that many other customers will purchase this product as well.

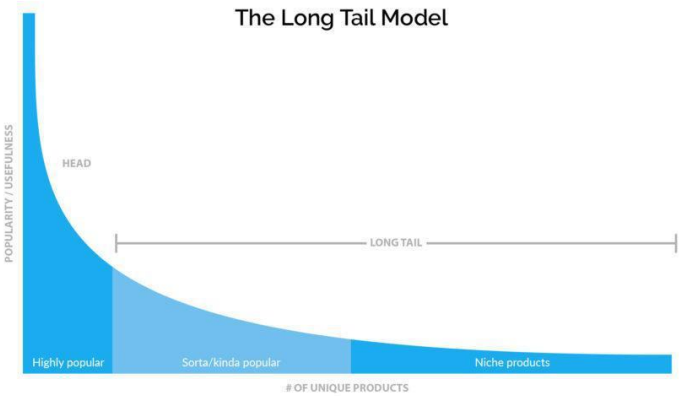
Limited Distribution Channels
Companies with limited distribution channels typically focus more on their popular products due to the fact that they cannot afford to allocate limited key resources on low-demand items which may not give a large enough profit margin.

Individuals Tend to Want the Best
Many consumers want the best product they can get in terms of cost-effectiveness and popularity. Therefore, they are reluctant to settle for less popular products, sometimes even when the low-demand product is significantly cheaper.

Profitability
Most businesses prefer to combine the blockbuster strategy with low-cost production techniques. This combination of high-demand products and a low-cost price has the potential to create significant business revenue.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

WHAT IS A LONG-TAIL BUSINESS MODEL?



Now that we hopefully understand the basic concept of the Long Tail business model, let's take a look at some of the more technical features of the strategy. Let’s highlight some of the essential ingredients required to build a strong Long Tail online retail business.

IT LAYS A STRONG EMPHASIS ON NICHE PRODUCTS

Due to the popularity of the Blockbuster strategy among a significant number of online retailers, the market is already saturated with high-demand items. This will lead to increased competition and reduced profitability as customer acquisition

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

costs soar in a bid to drive sales through costly marketing campaigns and distribution channels.

Focusing on niche products allows you to circumvent the already saturated market and tap into the demand created by customers searching for less popular items. This, of course, leads to a higher conversion rate since buyers are left with fewer alternatives, a higher customer retention rate, and reduced customer acquisition costs due to cheaper marketing campaigns and distribution channels.

A LARGE CATALOG OF ITEMS

As we mentioned earlier, the shift from traditional brick-and-mortar retail stores has given retailers the freedom to include an almost limitless number of products in their catalogs. This advantage is integral to the Long Tail strategy because on their own each of these items drives low volume sales.

However, when the total volume of a wide range of low-demand items is pooled together, this can lead to a significant increase in total sales volume. This may not represent a complete abandonment of high-demand items, but merely allows you to take advantage of some of the unique benefits of operating an e-commerce business.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

IT REQUIRES COST-EFFECTIVE MANAGEMENT OF LARGE INVENTORIES

Since Long Tail businesses have to deal with a significantly larger inventory than other retailers, they must also find cost-effective ways to handle this challenge. One way that online retailers handle this challenge is by utilizing centralized storage facilities, which tend to be cheaper than maintaining several physical stores.

Also, the use of digital services allows for much easier inventory management, logistics, and distribution since the movement of each item can be closely tracked using its unique identifier. The online retailer is not limited by floor space as well, which greatly enhances the potential catalog size in a cost-effective manner.

WIDE DISTRIBUTION CHANNELS ARE NECESSARY

A Long Tail business cannot run successfully without vastly increasing its available distribution channels. This is the key tactic used to overcome the inherent disadvantage of marketing low-volume, low-demand items. Distribution channels involve the various methods a business communicates with its customers and delivers value. It is the interface between the merchant and seller.

One of the advantages of using an online retail outlet is that it significantly increases your potential customer reach.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Generally, there are five stages involved in a distribution channel. This includes; Awareness, Evaluation, Purchase, Delivery, and After-sales. While all of these are very important, Long Tail businesses must focus strongly on the two steps.

When one is marketing a niche product, it is key to ensure that your customers are aware of this service and the availability of the product online. This involves a strong marketing campaign aimed at creating organic growth within a targeted niche market.

HIGH DEGREE OF CUSTOMER RETENTION

Long Tail business models require a higher degree of customer retention than businesses that deal in high-demand items. Lower demand items may not attract a high degree of sales, but they usually encourage longer lifetime value due to greater customer loyalty. Therefore, it's imperative that businesses capitalize on this to build long-term relationships with their clientele.

THEY WORK WELL FOR CROWDSOURCING PLATFORMS

Long Tail businesses thrive off diversity. This makes them a fertile ground for crowdsourcing platforms that attract a large degree of collaboration and co-creation from numerous paid and unpaid participants. This allows for the availability of a much wider range of products and niches. This also supports co-creation platforms as input from the customers is

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

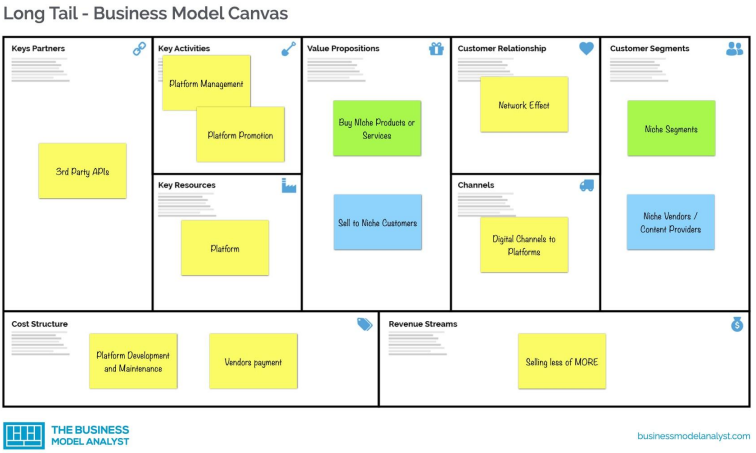
supported and vastly increases the product pool.

OPTIMIZED SEARCH AND FILTERING OPTIONS

With the large increase in products and services available to consumers, it is also necessary that users can quickly and effectively navigate these options in a systematic and easy-to-understand manner. This gave rise to a whole slew of search engines and algorithms that categorized these services and enabled customers to navigate these platforms with ease.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

LONG TAIL BUSINESS MODEL CANVAS



Building a business plan requires a significant amount of planning and insight due to the peculiarities of the business model. Thankfully, certain tools can be used to build the basic framework for your Long Tail business model.

The Business Model Canvas is a useful tool that can be used to build a basic layout of how a business operates. It is a unique visualization tool created by Professor Yves Pigneur and Dr. Alexander Osterwalder, at the University of Lausanne, in Switzerland, back in 2005.

The standard chart is made up of nine core building blocks. Generally, these areas can be divided into four categories: **Client-based areas** (customer segments, customer

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

relationships, and distribution channels), **offer-based areas** (value propositions), **resource-based areas** (key resources, key partners, and key activities), and **finance-based areas** (revenue streams and cost structure).

FILLING IN YOUR LONG TAIL BUSINESS MODEL CANVAS TEMPLATE

Let's take a closer look at each segment and what they mean within the field of business development. Also, we'll tailor each segment towards Long Tail businesses.

Value Propositions
Value propositions are a summary of the products/services offered by your company. It's also an outline of why a potential customer should choose your products/services over that of a competitor.

When considering Long Tail business strategies, they offer several value propositions to potential clients. One of these is the ease at which they make relatively obscure items available to buyers. Also, they offer these items at a relatively cheaper price. This is because the advent of central warehousing has brought down the total cost of storage, logistics, and distribution.

These lower costs are then passed along to the customers as lower prices when compared to brick-and-mortar stores. Another advantage of such businesses is their variety. Instead of being limited to a narrow range of popular items, users are opened to a much wider variety of products.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Customer Segments

This refers to the particular demographic your product/service targeted towards, e.g. lower-income/higher-income households, families/singles, and so on. The Long Tail model is more common among companies that attempt to cater to a wide range of consumers simultaneously, so this will determine your consumer segment to a great extent.

It's important to understand that most Long Tail businesses attempt to appeal to a very wide consumer base. Instead of focusing their energies on a single customer segment, they spread out their services to a much larger population who possess an extensive variety of tastes and interests.

Therefore, the customer segment for Long Tail businesses is quite varied and is more specific to the industry they cater in. For instance, a platform like Netflix caters to movie lovers by providing them with a wide range of films from varying genres, while Spotify does the same using music instead.

Distribution Channels

Distribution channels refer to how a business intends to communicate with its customers and offer its services to them as well. This can be through email, text messages, an official website, social media platforms, and advertising.

This of course varies widely depending on the form the Long Tail businesses assume. Streaming platforms are a popular example of platforms that incorporate the Long Tail ideology. Other examples include online retailers, such as Amazon and eBay, crowdsourced media content, self-publishing platforms, and so on.

Customer Relationships

Customer relationships involve how a business and its client interact within the context of the product/service delivery.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

This may be through personal assistance, dedicated personal assistance, self-service, communities, and so on. Customer relationships also include how the business plans on acquiring new clients, retaining old ones, and encouraging clients to expand their existing services.

Revenue Streams
This refers to how a business plans to generate income from the products/services they offer to its consumers. Typically, Long Tail business models work using either a one-time payment system, subscription-based model, pay-per-use model, freemium model, per-user model, or function as a pay-as-you-go service.

Also involved is the pricing mechanism that will be used by the business. This may be volume-dependent (how much of the service is used), customer segment-dependent (who is using the service), product feature-dependent (what is the quality of the service offered), or a fixed list pricing.

Key Activities
This refers to essential activities which must be carried out to ensure the business functions properly, which may include research and development, production, product delivery, marketing, customer service, and so on.

Key Resources
Key resources are the inputs that are required for this particular business model to work. This involves things such as material resources, technological inputs, human resources, intellectual property, financial resources, and so on.

Key Partners
Key partners are other businesses or entities which are essential to the functioning of your business. They may offer key services, maximize profits through economies of scale, reduce risk, help in resource acquisition, and provide other

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

key services.

Cost Structure

This involves all costs that are linked to the operation of the business and the delivery of services. This may include employees' salaries, facilities maintenance, acquisition of equipment and software applications, and so on.

Your cost structure is generally divided into fixed costs, ongoing costs, and one-off costs. Some other classes include product development costs, customer acquisition costs, and so on.

Knowing this will help you to calculate your burn (the amount of money you spend monthly to run the business minus your monthly revenue) and your runaway (how long you can sustain the current business model before running out of cash). It also allows you to calculate your growth rate as well.

GROWTH RATE: %

$$\frac{\text{Money In (Month 2) - Money In (Month 1)}}{\text{Money In (Month 1)}}$$

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

EXAMPLES OF LONG TAIL BUSINESSES

Let’s take a look at several prominent companies that have successfully employed the Long Tail business model.

NETFLIX'S LONG TAIL BUSINESS MODEL

Netflix is probably the best example of the Long Tail business model in action. This is not only because they have successfully adopted the concept into their business strategy, but also because they used it to out-compete their biggest competitor in the industry, Blockbuster, one of the originators of the “Blockbuster” strategy.

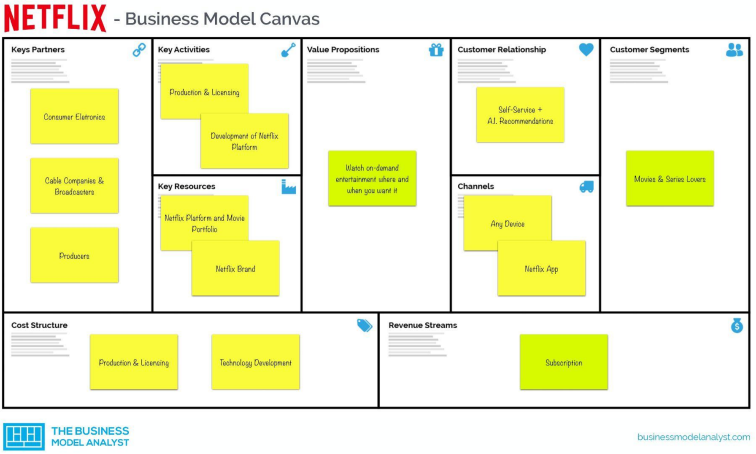
Netflix is an online streaming service and production company based in Los Gatos, California. It was launched in 1997 by Reed Hastings and Marc Randolph and is well-known for its strategy which involves releasing a wide range of movies and series through deals with various distribution companies, as well as its personal production company Netflix Originals. The platform has over 221 million active subscribers in over 190 countries and is available in 21 languages.

The company was originally conceived as a DVD rental and retail store, before focusing solely on rentals. However, competition from other major industry players such as

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Blockbuster put the company in a state of near bankruptcy. That is when the platform decided to shift towards online streaming services instead. This change in direction allowed them to incorporate the ideology of the Long Tail business by allowing them to utilize their large warehouse of productions to reach out to a much wider customer base through the release of projects from numerous genres, niches, and languages.

Netflix's Business Model Canvas



Let's take a closer look at the Netflix business model canvas to understand how they adopted the Long Tail strategy into their business method.

Value Propositions

- **Convenience:** Netflix offers on-demand services, which means that users can watch whatever programs they prefer at their own convenience from a compatible internet-enabled device. Also, they can binge-watch series since all the episodes are released simultaneously, allowing them to skip the

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

inconvenience of having to wait for the next episode release. It's also great for customer advocacy and publicity;

- **Variety:** Netflix is known for its huge content library which provides a wide range of movies, series, anime, documentaries, and other specials. Each of which contains numerous projects from different genres which are available in various languages. This allows the service to appeal to both mainstream and niche markets;

- **No ads:** Netflix has for a long time remained an ad-free streaming service, which ensured that subscribers enjoy an uninterrupted experience on the platform. However, there are discussions to create a lower-priced subscription that may feature ads;

- **Freemium:** The platform offers a one-month free trial for new members which allows access to all their content except for premium content and features;

- **Personalization:** The Netflix algorithm gathers user data and makes well-guided recommendations based on what a user has watched and liked previously;

- **High-speed Connection:** Netflix offers high-speed data connections and smooth streaming services through the use of top-notch data streaming technology and practices. The Netflix ISP speed index has become an industry standard in terms of connection speed;

- **Simple Pricing System:** The company offers a simplified subscription-based monetization system, using three subscription options: basic, standard, and premium packages;

- **Localization:** The use of subtitles and local production

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

companies allows Netflix to increase its content library to include a wide range of countries and cultures.

Customer Segments

- Film enthusiasts.

Distribution Channels

- Internet-enabled devices, such as smartphones, tablets, smart TVs, game consoles, PCs, laptops, and so on;
- Netflix app;
- Webpage;
- Social media channels;
- Film festivals;
- Media outlets.

Customer Relationships

- Self-service through the Netflix app and website;
- Customer support services;
- Social media;
- AI recommendations.

Revenue Streams

- Subscription-based pricing model (>99% of revenue);
- Licensing revenue from Netflix-owned productions.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Key Activities

- Content acquisition and licensing;
- Production and content creation;
- Research and development;
- Marketing;
- Subscriber analytics.

Key Resources

- Brand;
- Netflix algorithm;
- App/website;
- Large library of licensed content and original productions;
- User data;
- Human resources (actors, writers, filmmakers, technical staff, etc.);
- Intellectual property;
- Studios and other physical buildings;
- Streaming technology.

Key Partners

- Studios;
- Distribution companies;
- Internet Service Providers (ISPs);

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

- Amazon Web Services (AWS);
- Directors, actors, producers, and other members of the filmmakers guild;
- Cinemas, theaters, and film festivals;
- Influencers;
- Regulatory bodies;
- Investors;
- Consumer electronics.

Research and development

- Marketing;
- Technical maintenance and upgrades;
- Content amortization;
- Payment processing fees;
- Operational costs (rent, employee payrolls, and building maintenance);
- Streaming delivery costs;
- General and administrative costs.

AMAZON'S LONG TAIL BUSINESS MODEL

Amazon is an American-based multinational tech company that is involved in a wide range of industries including e-commerce, cloud computing, computer hardware, digital

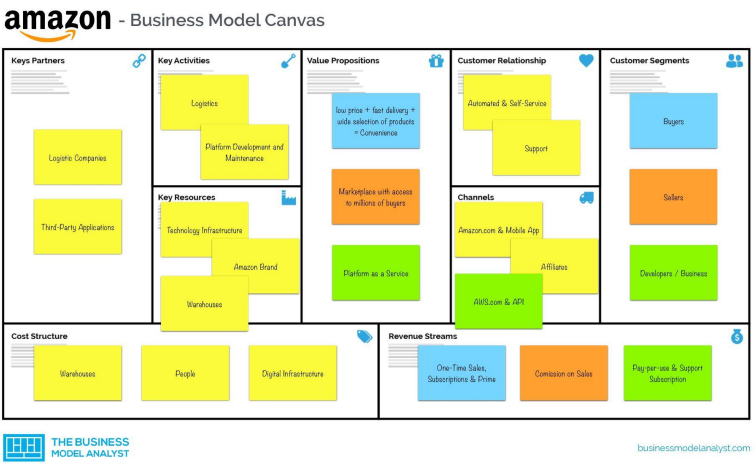
This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

streaming, and more. For the sake of the Long Tail business strategy, we will be taking a closer look at their amazing e-commerce platform, Amazon.com, and how they utilized the Long Tail method to capitalize on an ever-growing market share of online retailers.

Amazon.com was started by billionaire CEO Jeff Bezos back in 1994 as an online marketplace for books. Bezos soon realized the potentially unlimited shelf space offered by online retail allowed him to vastly increase his product range. He wasted no time in expanding Amazon.com to include a wide range of other products as well, and the service currently has an inventory of over 12 million products and services.

Currently, the platform holds an impressive 45% share of the U.S. e-commerce market and offers shipping services to a wide range of other countries as well. The company is the second-largest private employer of labor in the U.S. and made a net profit of over $386 billion in 2020, making it one of the most profitable companies in the world.

Amazon's Business Model Canvas



This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Let's take a closer look at the Amazon business model canvas to understand how they adopted the Long Tail strategy into their business method.

Value Propositions

- **Competitive Pricing:** Due to the wide range of offers from numerous online merchants, Amazon offers very competitive pricing mechanisms and helps buyers find the best deals available online;
- **Convenience:** Amazon offers a great deal of convenience by allowing buyers and sellers to interact seamlessly together through the platform. Also, the advanced search, filtering, and categorization system make it much easier for users to find whatever they are looking for as long as it is on the platform, no matter how obscure it may be;
- **Variety:** The Amazon e-commerce platform offers over 12 million inventory items, making it the largest online retailer in the world (outside of China). This enormous inventory is one of the key factors driving their successful adoption of the Long Tail method;
- **Fast Fulfillment:** Amazon offers quick payment and shipping services. The platform is partnered with USPS and several other logistics companies. They offer both local and international shipping services. They also automatically calculate the cost of shipping for the buyer, making upfront payments more transparent;
- **Access to a Wide Variety of Buyers:** The merchants who use the Amazon platform to advertise their products also enjoy the wide e-commerce market share which the company controls;

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

- **Platform-as-a-Service (PaaS):** By offering PaaS services, merchants and buyers can fully enjoy all the benefits of the platform without having to worry about the purchase, maintenance, or upgrading of the infrastructure required to support such a vast network.

Customer Segments

- Buyers;
- Merchants.

Distribution Channels

- Amazon website;
- Amazon app;
- Affiliate program.

Customer Relationships

- Website;
- Social media channels;
- Customer service channels;
- Reviews and comments.

Revenue Streams

- Amazon Prime subscription fees;
- Transaction fees;
- Commission.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Key Activities

- Marketing;
- Merchandising;
- Research and development;
- Customer service;
- Supply chain and logistics management;
- Delivery.

Key Resources

- Brand;
- Amazon online platform;
- Affiliate program;
- Fulfillment centers;
- Technological infrastructure;
- Supply chain logistics;
- Human resources;
- Algorithm;
- Intellectual property.

Key Partners

- Buyers;
- Sellers;
- Logistics partners.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Cost Structure

- Research and development;
- Marketing;
- Technical maintenance and upgrades;
- Payment processing fees;
- Operational costs (rent, employee payrolls, building maintenance, and fulfillment centers);
- Delivery costs;
- Customer service centers;
- General and administrative costs.

EBAY'S LONG TAIL BUSINESS MODEL

eBay is a publicly-traded American multinational e-commerce company which is based in San Jose, California, and is one of the original proponents of the Long Tail business model. The company facilitates the sale of products through consumer-to-consumer (C2C) and business-to-consumer (B2C) channels through its platform, which functions as an online auction site between merchants and buyers.

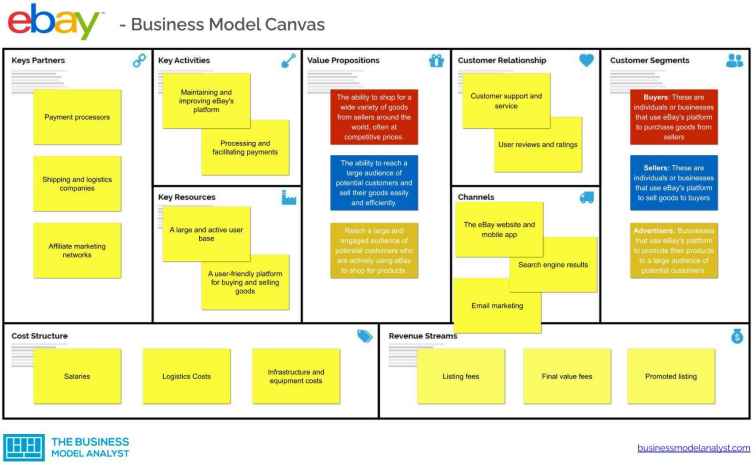
The company was founded back in 1995 by Pierre Omidyar and includes a wide range of inventory. Currently, the platform caters to over 190 countries worldwide and is the second most visited online e-commerce platform after Amazon. Buyers can access the services of the platform for free, however, merchants are charged a fee for listing items on the platform and eBay receives a commission following

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

the sale of any item through their platform.

eBay is a major competitor in the e-commerce industry, with net revenue of $10.42 billion in 2021 and over 10,800 employees. The platform boasts 159 million active buyers, and 307 million monthly unique visitors and is the major market shareholder in the U.S. in terms of the C2C online sale of used products (controlling approximately 72% of the market share in 2021).

eBay's Business Model Canvas



Let's take a closer look at the eBay business model canvas to understand how they adopted the Long Tail strategy into their business method.

Value Propositions

- **Competitive Pricing:** eBay promotes competitive pricing by offering an open auction system between buyers and sellers, which helps both parties find the best available deals online;

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

- **Convenience:** eBay offers a great deal of convenience by allowing buyers and sellers to interact seamlessly together through the platform. Also, the advanced search, filtering, and categorization system make it much easier for users to find whatever they are looking for as long as it is on the platform, no matter how obscure it may be;
- **Variety:** The eBay e-commerce platform offers the largest inventory of any online e-commerce platform, with 1.7 billion unique listings. This enormous inventory is one of the key factors driving their successful adoption of the Long Tail method;
- **Access to a Wide Variety of Buyers:** The merchants who use the eBay service to advertise their products also enjoy the wide e-commerce market share which the company controls;
- **Platform-as-a-Service (PaaS):** By offering PaaS services, merchants and buyers can fully enjoy all the benefits of the platform without having to worry about the purchase, maintenance, or upgrading of the infrastructure required to support such a vast network.

Customer Segments

- Buyers;
- Merchants.

Distribution Channels

- eBay website;
- Mobile app;
- Loyalty program.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Customer Relationships

- Website;
- Social media channels;
- Customer service channels;
- Reviews and comments.

Revenue Streams

- Sellers listing fee;
- Commission fee for a completed sale;
- Transaction fees;
- eBay's classifieds services;
- Online ticket trading.

Key Activities

- Business-to-consumer sales (B2C);
- Consumer-to-consumer sales (C2C);
- Marketing;
- Merchandising;
- Research and development;
- Customer service;
- Supply chain and logistics management;
- Delivery.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Key Resources

- Brand;
- eBay online platform;
- Loyalty program;
- Technological infrastructure;
- Supply chain logistics;
- Human resources;
- Intellectual property;
- Customer service offices;
- Data centers.

Key Partners

- Buyers;
- Sellers;
- Logistical partners;
- PayPal;
- BillMeLater;
- StubHub;
- Half.com;
- shopping.com;
- eBay classifieds;
- rent.com.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Cost Structure

- Research and development;
- Marketing;
- Technical maintenance and upgrades;
- Payment processing fees;
- Operational costs (rent, employee payrolls, and building maintenance);
- Delivery costs;
- Customer service centers;
- General and administrative costs.

LULU'S LONG TAIL BUSINESS MODEL

Lulu Press, Inc., (commonly referred to as Lulu.com) is an online print-on-demand service that also acts as a self-publishing and distribution platform for books, e-books, photo books, and calendars. The company is currently headquartered in Morrisville, North Carolina, and was founded by Red Hat's co-founder, Bob Young.

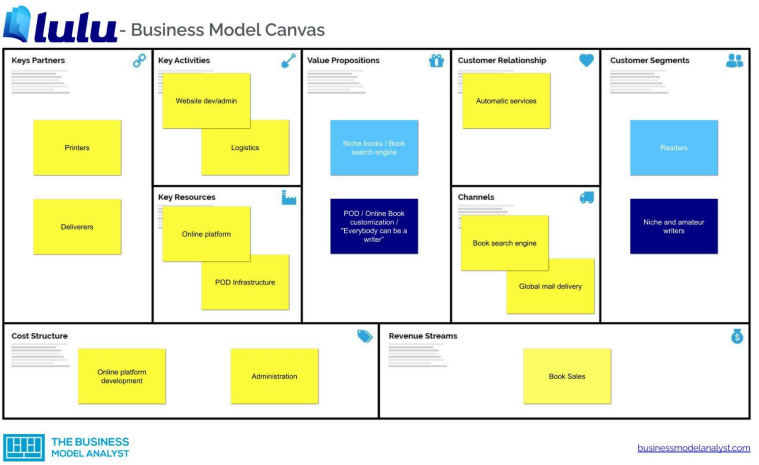
The company operates as an online print-on-demand service. This means that the company receives various types of print orders from clients and uses its printing technology to fulfill these orders. These include paperback, hardcover, and coil-bound orders, all of which are available in black and white or color. This allows smaller orders to be carried out due to its digital nature, as against more traditional printing technologies which were not economical when printing small

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

volumes.

This allows a wide range of authors to self-publish their books. The books can even be distributed through the Lulu Bookstore or other authorized retail outlets if it has the necessary ISBN and meets other distribution requirements. When using the Lulu Bookstore, the original author of a title receives 80% of the royalties for print books and 90% of the royalties for e-books, while still maintaining full copyright ownership.

Lulu's Business Model Canvas



Value Propositions

- **Ease of publishing:** Lulu.com offers both new and old authors an economical and easy way to publish their work. By encouraging a print-on-demand system, even authors who do not have deep pockets can publish and sell a few books at a time without needing funding from large-scale publishing houses;
- **Cost-effectiveness:** The print-on-demand system is

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

much more economical for both the authors and Lulu.com due to the use of digital printing technologies;

- **Free ISBN:** Lulu.com offers authors a free ISBN when they use the Lulu Publishing Wizard service. This allows them to monetize their work much more easily;
- **Platform-as-a-Service:** Not only are authors allowed to make use of the digital printing infrastructure offered by Lulu.com, but they can also leverage the publicity and exposure offered by the Lulu Bookstore to appeal to a much wider audience than they would normally have been able to reach out to;
- **Online Community of Writers/Readers:** The platform also gives members access to a large community of readers and writers with whom they can share ideas, gain experience and receive support as well;
- **Customization:** The Lulu Publishing Wizard service offers authors a wide range of customization options depending on the type of project they are printing;
- **Niche Writers:** One of the strongest advantages of the platform is that it encourages and provides a platform for niche writers who may not have been able to garner an audience through more mainstream channels. This is due to their relatively cheap printing and publishing services, as well as the Lulu Bookstore.

Customer Segments

- Authors (especially new authors and niche writers);
- Readers.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Distribution Channels

- Lulu.com website;
- Lulu Bookstore;
- Post offices;
- Lulu Jr;
- Retailers;
- Global mail delivery;
- Digital download.

Customer Relationships

- Self-publishing platform;
- Lulu Blooker Prize;
- Lulu Bookstore.

Revenue Streams

- Print-on-demand services;
- Royalties from Lulu Bookstore;
- Marketing services;
- Publishing services.

Key Activities

- Print-on-demand services;
- Marketing;
- Publishing;

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

- Research and development;
- Customer services;
- Logistics;
- Delivery.

Key Resources

- Online platform;
- Print-on-demand infrastructure;
- Delivery chain.

Key Partners

- Community of writers;
- Printing infrastructure manufacturers and suppliers;
- Retail outlets;
- Replay Photos;
- Crayola;
- Delivery services.

Cost Structure

- Research and development;
- Marketing;
- Technical maintenance and upgrades;
- Payment processing fees;
- Operational costs (rent, employee payrolls, and

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

building maintenance);

- Delivery costs;
- General and administrative costs.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

WHAT DOES LONG TAIL THEORY MEAN IN MARKETING?

Long Tail marketing is a marketing strategy that involves targeting a wide range of niche markets with certain products or services, which may or may not be long-tail products themselves. It can be used by dominant businesses to increase their share of the market and attract more customers. It can also be used by businesses within an industry that is strongly dominated by a single brand to appeal to more obscure markets which may have been overlooked by other competitors and therefore carve out a niche for themselves.

The idea behind this theory is quite similar to the original Long Tail strategy itself. Individually these markets may be seen as low-volume and unprofitable, yet when combined they can be a significant source of revenue for any business which can create a loyal customer base from a later number of them.

There are several advantages to this method. Of course, by focusing on niche markets there is less competition with potentially larger brands for a limited customer base, leading to higher customer conversion rates. Also, the customer acquisition costs are typically lower due to this same reason. Customers from niche markets typically have longer lifetime value as well, and offer better profit margins if the system is

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

carefully employed.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

PRACTICAL APPLICATIONS OF LONG TAIL MARKETING

Here are a few real-world applications of the Long Tail marketing strategy.

USING LONG TAIL KEYWORDS FOR SEO

Search Engine Optimization (SEO) refers to various techniques and tools used to improve both the quality and quantity of traffic to a website. This includes numerous tools used to drive organic growth, but one of the most widely used and effective methods is using keyword optimization.

Keywords typically refer to terms users commonly use when searching for a particular topic in a search engine. Fitting these keywords into a webpage or any form of web content increases the chances of a search engine ranking that content highly and placing it amongst the first few search results. Therefore, proper keyword research is quite important.

However, the widespread adoption of SEO and keyword optimization has made it harder to stand out and rank effectively amongst user searches. Therefore, SEO specialists

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

circumvent this difficulty through the use of long-tail keywords. Long tail keywords are lengthier than average keywords (usually an entire phrase), are more specific, and rank less strongly with search engines. However, they can go a long way in distinguishing one webpage from another and driving search engine users towards a particular website.

INCREASING YOUR CONTENT VARIETY USING LONG TAIL CONTENT

An easy way to adopt a Long Tail marketing approach is to simply increase the amount of content you create. Creating increased amounts of varied content makes it more likely for you to gain popularity amongst a wider audience. This is especially useful for a brand that has built a strong reputation through its high-demand content, though it can be utilized by smaller businesses as well. However, remember to keep a close eye on your profit margins and customer acquisition costs.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

GROWING YOUR FOLLOWERS THROUGH LONG TAIL FANBASES

This includes both increasing your fan base by appealing to less popular platforms, as well as stimulating engagement from less active members. Studies have found that even fan base engagement follows a similar distribution to the long-tail distribution, with a relatively small number of fans providing the most engagement.

However, it's important to remember that most individuals can only like, comment, or retweet once, so the degree of engagement quickly becomes saturated. Therefore, a great way to boost further engagement is to reach out to your long-tail fan base and encourage more participation from them in any way you can. So, a strong focus should be placed not on just gaining more followers, but on also increasing engagement as well.

INVEST IN LONG TAIL LINK BUILDING

Backlinks are simply hyperlinks that link from one website to another, usually one from an allied website or industry. The number of backlinks to your website is another great indicator of organic growth and a proven way to drive traffic to your website. Studies have also shown that a relatively small number of websites provide a majority of the backlinks to another platform, leading to rapid saturation and reduced unique traffic. A good marketing strategy would be to reach out and create effective partnerships with platforms that provide you with a relatively lower number of traffic or

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

backlinks. Building a strong relationship with such platforms is a great way to funnel unique visitors to your platform.

INCREASE YOUR WEBSITE FOOTPRINT

Instead of focusing all your resources on a single webpage, it may be more effective to spread them among various microsites and web tools, which would drive even more traffic towards the main page. Of course, managing multiple web pages requires significant resources and tools, so this strategy may not be effective for all businesses.

IN A PHYSICAL STORE WITH A LARGE AMOUNT OF SHELF SPACE

Even though most physical retail outlets practice the blockbuster strategy, some stores which have large amounts of shelf space sometimes mix in long-tail products as well. This involves finding the perfect balance of high-demand, high-volume items, and long-tail products to drive sales.

This also helps you attract new customers as well by building your image as a trusted source of obscure or niche items. However, be careful not to overstock on long-tail items to avoid missing out on the profitability of your more popular products due to unavailability.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

MICROFINANCE INSTITUTIONS ALSO UTILIZE THE LONG TAIL METHOD

Within the banking sector, primarily in developing economies in parts of Africa and South Asia, some microfinance institutions have taken to giving out small-scale loans (usually $100 or less) to a wide group of entrepreneurs and businesses who have been overlooked or marginalized by the traditional banking sector most likely due to their high-risk nature or lack of well-structured credit score systems in these areas.

In such regions, these small-scale loans will be enough to set up small-to-medium size enterprises which can then repay these loans, typically with a relatively high interest due to the high-risk nature of the loan. This system usually results in net gains for the microfinance bank when well managed, and increased wealth for the Native Indigenous as well.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

FOR WHAT KINDS OF CUSTOMERS IS LONG TAIL MARKETING EFFECTIVE?

While discussing the types of businesses which engage in the Long Tail strategy, it's also important to take note of the types of customers who respond best to this business model.

CULTURALLY DIVERSE CLIENTS

A company may be able to attract a particular customer segment and increase brand inclusivity by promoting the use of a particular language or factor which appeals to their unique tastes. This makes it much easier for everyone to enjoy the amazing services offered by a particular business.

CROWDSOURCING

Often online musical or artistic platforms which practice the Long Tail method through virtually unlimited online space offer a great opportunity for individuals with different backgrounds, interests, and talents to meet together and share expertise which better drives innovation and expansion. This form of co-creation allows niche markets to have a louder voice within the market and achieve commercial success and acclaim.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

ENTHUSIASTS OF OBSCURE PRODUCTS

Many niche customer segments have a hard time finding particular long-tail items due to the challenges of chronic under-supply due primarily to poor demand for these products. By offering a stable source of these obscure items for various niche groups, you can build a much wider business network through positive feedback and comments. This allows businesses to tap into patients who would have normally sat outside their core sales target and of course increase revenue.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

THINGS TO NOTE WHILE ADOPTING THE LONG TAIL MODEL

Despite the allure of the Long Tail method and its ability to significantly increase your revenue and customer base, there are some cautionary notes that large, medium, and small-scale enterprises must take while adopting the strategy into their business model. Here are some key things to consider while adopting the Long Tail strategy.

DO NOT RADICALLY ALTER YOUR BLOCKBUSTER RESOURCE-ALLOCATION STRATEGY OR PRODUCT-PORTFOLIO JUST YET

We can all agree that the Long Tail strategy offers all sorts of benefits, but that does not mean that businesses should be in a haste to throw out tested and trusted blockbuster products. It's key to remember that even within businesses that successfully adopt the Long Tail system, these blockbuster products still make up a majority of their sales.

Even with the rapid changes in media, technology, and the

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

ways people buy and sell online, the majority of profits are still concentrated at the head of the distribution graph. Therefore, your resource allocation and product portfolio should be focused on capitalizing on these products while slowly introducing niche products in a manner that will not jeopardize your business structure.

KEEP YOUR LONG TAIL COSTS AS LOW AS POSSIBLE

Reduced competition among businesses for long-tail products translates to lower customer acquisition costs. Also, these products generally have a long product lifecycle and generally lower average production costs, making it seemingly easier to turn a profit on such products.

However, do not forget that the low-demand, low-volume nature of these niche products also means that they tend to naturally translate to low sales volume. Therefore, many businesses dealing with long-tail products find themselves dealing with surprisingly slim profit margins and may even struggle with the costs of production/distribution. Keep this in mind and ensure that you watch your profit margins carefully when dealing with long-tail products.

FOCUS ON MARKETING YOUR MORE POPULAR PRODUCTS

While this may sound counterintuitive, there is a good reason for this. Marketing niche products is a great way to attract customers who are searching specifically for those products, but due to the general obscurity of such products, they are

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

relatively few. Therefore, a company may find itself launching expensive marketing campaigns and making suboptimal returns.

A good strategy would be to market your most popular and in-demand products to attract a large number of potential customers to your platform and products. Then, through your interactions with these customers, you can introduce them to both your blockbuster and long-tail products. Bundling your niche products with your blockbuster items is a more effective strategy when trying to reach out to a wide consumer base, especially for a company with a restricted marketing and advertising budget.

DO NOT BE IN A HASTE TO DIRECT CUSTOMERS TO YOUR LONG TAIL PRODUCTS

Likewise, once customers have been introduced to your brand, do not be in a rush to market your more obscure or less popular products to them in a bid to galvanize your long-tail sales. Focus on well-trusted products which have a good track record of creating maximum customer satisfaction. This will help you build stronger consumer confidence and increase customer openness towards new products.

OFFER NICHE PRODUCTS TO LOYAL CUSTOMERS

Many times, long-time users of a particular product or service from a business find that they have become saturated or

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

unimpressed by the current company catalog. Such customers are great candidates for long-tail products without even knowing it.

This is a great opportunity to introduce such customers to new or less popular products or services that your brand may offer. This adds some much-needed novelty to the brand and may be an opportunity to further expand the lifetime value of the customer. This is also supported by research which shows that most customers who frequently find interest in niche products within the long tail are long-term clients who have exhausted the top decile of products.

THE LONG TAIL METHOD REQUIRES SIGNIFICANT CREATIVE THINKING

Do not forget that despite their high-profit margins, long-tail items are low-demand products for a reason. This may be due to a restricted functionality, lack of mainstream adoption, or simply poor consumer knowledge concerning the product. Therefore, it will take significant effort as well as creative marketing and distribution strategies on your part to be able to cost-effectively and successfully market these products to a wide consumer base.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

CONCLUSION

The world of e-commerce is rapidly changing, and businesses must find increasingly creative ways to capitalize on this paradigm shift. Also, they must be fully dedicated to finding solutions to any challenges which may arise from this change. The Long Tail business model is one of such solutions born from the increased popularity of e-commerce, unlimited online shelf space, a wider customer base, and more effective distribution channels.

Even though there are significant challenges to adopting the strategy successfully, with the right data and dedication, it can be used to add significant revenue to your business. Even though blockbuster items are still the major source of revenue for most online retailers, the distribution graph is slowly changing, and it's important that you capitalize on this.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

REFERENCES

The following references were consulted to create this Super Guide:

- https://www.startechup.com/blog/long-tail/
- https://highincomesource.com/long-tail-business-model/
- https://businessmodelanalyst.com/long-tail-business-model/
- https://blog.hubspot.com/blog/tabid/6307/bid/4723/6-ways-to-leverage-the-long-tail-in-your-marketing.aspx
- https://www.investopedia.com/terms/l/long-tail.asp
- https://www.startechup.com/blog/long-tail/
- https://expertprogrammanagement.com/2012/01/what-is-the-long-tail/
- https://www.encyclopedia.com/management/encyclopedias-almanacs-transcripts-and-maps/long-tail
- https://blog.hubspot.com/blog/tabid/6307/bid/4723/6-ways-to-leverage-the-long-tail-in-your-marketing.aspx
- https://www.investopedia.com/terms/l/long-tail.asp
- https://hbr.org/2008/07/should-you-invest-in-the-long-tail
- https://www.startechup.com/blog/long-tail/
- https://knowledge.wharton.upenn.edu/article/rethinking-the-long-tail-theory-how-to-define-hits-and-niches/

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

- https://www.shortform.com/blog/long-tail-business-model/
- https://businessmodelanalyst.com/long-tail-business-model/
- https://miloszkrasinski.com/the-long-tail-effect-theory-in-practise-explained/
- https://www.indeed.com/career-advice/career-development/longtail-how-businesses-use-it-example
- https://simplicable.com/new/long-tail
- https://sandranavarro.com/en/strategy/5-good-cases-of-long-tail-e-commerce/
- https://medium.com/@dillon.berjani/how-netflix-is-making-use-of-the-long-tail-theory-to-attract-new-subscribers-e4a96923ab6d
- https://annahluu.com/2022/04/10/long-tail-marketing-strategies/
- https://www.huffingtonpost.co.uk/christopher-goodfellow/netflixs-long-tail-is-for_b_4716228.html
- https://businessmodelanalyst.com/netflix-business-model/
- https://innovationtactics.com/netflix-business-model-canvas/
- https://www.shortform.com/blog/long-tail-business-model/
- https://www.newmarketsadvisors.com/blog/long-tail-business-models-amazon-on-offense-and-defense
- https://www.scdigest.com/firstthoughts/19-09-13.php?cid=15872&ctype=content
- https://businessmodelanalyst.com/amazon-business-model/
- http://www.trevorginn.com/ebay-and-the-long-tail/

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

- https://sandranavarro.com/en/strategy/5-good-cases-of-long-tail-e-commerce/
- https://profitablebusinessmodels.com/ebay-business-model-canvas/
- https://www.ft.com/content/c1f3a72a-3390-11db-981f-0000779e2340
- https://www.ecommerce-digest.com/lulu-case-study.html
- https://knowledge.wharton.upenn.edu/article/does-lulu-com-pose-a-serious-threat-to-the-major-publishing-houses/
- https://bizzbucket.co/lululemon-business-model-how-lululemon-makes-money/
- https://sandranavarro.com/en/strategy/5-good-cases-of-long-tail-e-commerce/
- https://profitablebusinessmodels.com/lego-business-model-canvas/
- https://www.startechup.com/blog/long-tail/
- https://www.investopedia.com/terms/l/long-tail.asp
- https://www.startechup.com/blog/long-tail/
- https://businessmodelanalyst.com/long-tail-business-model/
- https://businessmodelanalyst.com/long-tail-business-model/
- https://www.startechup.com/blog/long-tail/
- https://businessmodelanalyst.com/long-tail-business-model/
- https://hbr.org/2008/07/should-you-invest-in-the-long-tail
- https://www.investopedia.com/terms/l/long-tail.asp
- https://businessmodelanalyst.com/long-tail-business-model/

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

- https://jfaub081.wordpress.com/2014/01/13/the-long-tail-business-model/
- https://highincomesource.com/long-tail-business-model/
- https://blog.hubspot.com/blog/tabid/6307/bid/4723/6-ways-to-leverage-the-long-tail-in-your-marketing.aspx

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

ABOUT THE AUTHOR

Daniel Pereira is a Brazilian-Canadian entrepreneur that has been designing and analyzing business models for over 15 years. You can read more about his journey as a Business Model Analyst **here**.



E-mail Daniel if you have any questions at: daniel@businessmodelanalyst.com
You can connect with Daniel at Linkedin: https://www.linkedin.com/in/dpereirabr/

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited



THE BUSINESS
MODEL ANALYST

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited